INTERNAL · DRAFT · NEGOTIATING TERMS · CEO / Board Eyes Only

# EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

*October 9, 2026 · Exos Aerospace Systems & Technologies, Inc.*

## 1. What SSLC Holders Receive

*Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.*

*Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.*

| Component | Low | Base | High | When / Notes |
|---|---|---|---|---|
| Cash at close | $2,510K | $2,510K | $2,510K | Close target Feb 15th (~Q1 FY27) |
| SSLC transaction costs | $60K | $60K | $60K | Close; seller-side |
| Credit for Exos's existing stake | $790K | $790K | $790K | Close (non-cash credit) |
| Working-capital bridge | $500K | $500K | $500K | Close |
| **① Cash at close — target by Feb 15th** | **$3,860K** | **$3,860K** | **$3,860K** | **Cash + costs + stake credit + WC bridge** |
| + Exos equity — $1.0M fixed EAI units (Rule 504, ~0.59% at 409A ~$170M) | $1,000K | $1,000K | $1,000K | EAI units issued as part of Exos's Rule 504 offering, at the 409A value; $1.0M counts toward Rule 504 $10M cap; issued at financing close |
| **② Total at financing close (SSLC asset acquisition)** | **$4,860K** | **$4,860K** | **$4,860K** | **Target: Feb 15th** |
| Tank earn-out: 5% of SSLC's IM tank revenue/yr, cap $300K/yr, FY27–FY31 | $750K | $1,250K | $1,500K | Single 5% rate; scenario = revenue SSLC achieves: Low $3M/yr → $150K/yr; Base $5M/yr → $250K/yr; High $6M+/yr → $300K/yr (cap) |
| Milestone M1: SSLC FY2026-27 rev ≥$5.1M | $200K | $200K | $200K | Pays FY28 Q1 if verified (all scenarios: mgmt base case) |
| Milestone M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines | — | $200K | $200K | Pays at customer acceptance (any year FY27–FY30) |
| Milestone M3: SSLC annual rev ≥$10M | — | $250K | $250K | Pays first year threshold hit (est. FY29 at base/high) |
| Milestone M4: SSLC annual rev ≥$20M | — | — | $250K | Pays first year threshold hit (est. FY31 at high) |
| Milestone M5: 50% reduction in tank build cost (dome & build-process automation proven) | — | — | $200K | Pays when 50% cost reduction proven (est. FY27–FY28) |
| Exos stock earn-out at listing (on top of ~0.59% EAI up-front) | $0 | $625K | $1,500K | Post-RTO ~FY29; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A: $0/$424K/$848K. Total Exos equity: ~0.59%/~0.84%/~1.09%. |
| **③ TOTAL OFFER VALUE, 5-yr (② + earn-outs; earn-out stock at listing)** | **$5,810K** | **$7,385K** | **$8,960K** | **FY27–FY31. HIGH < $10M target — not rebalanced.** |
| **IF HELD: all Exos stock projected in FY2031 (replaces listing earn-out)** | **$6.7M** | **$9.6M** | **$12.4M** | **Total stake ~0.59/0.84/1.09% → ~0.41/0.59/0.76% after ~30% dilution × ~$1.63B FY31 EV (16× v12 EBITDA). Projection only; on SSLC-actuals case ~$0.7–1.3M.** |
| **④ TOTAL IF STOCK HELD TO 2031 (① + tank + milestones + 2031 stock)** | **$11.5M** | **$15.3M** | **$18.9M** | **Alternative to ③, NOT added to it. Forward-looking projection, not a promise; RTO may not close.** |

### Earn-Out Targets: FY27–FY31

| Earn-out | Target SSLC must hit | Low | Base | High | Pays |
|---|---|---|---|---|---|
| Tank earn-out 5% of IM tank revenue/yr, | Revenue SSLC achieves each year FY27–FY31 | $3.0M/yr → $150K/yr | $5.0M/yr → $250K/yr | $6.0M+/yr → $300K/yr | Annual, FY27–FY31 |

| | | | | | |
|---|---|---|---|---|---|
| cap $300K/yr, FY27–FY31 | | → $750K total | → $1.25M total | (cap) → $1.5M total | |
| M1: SSLC FY2026-27 rev ≥ $5.1M → $200K | SSLC FY27 annual revenue ≥ $5.1M | ✓ | ✓ | ✓ | FY28 Q1 (if verified) |
| M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines → $200K | Tank set delivered and accepted by IM | — | ✓ | ✓ | At customer acceptance |
| M3: SSLC annual rev ≥ $10M → $250K | SSLC annual revenue ≥ $10M | — | ✓ | ✓ | First yr hit (est. FY29) |
| M4: SSLC annual rev ≥ $20M → $250K | SSLC annual revenue ≥ $20M | — | — | ✓ | First yr hit (est. FY31) |
| M5: 50% reduction in tank build cost (dome & build-process automation proven) → $200K | 50% cost reduction proven via dome & process automation | — | — | ✓ | When proven (est. FY27–28) |
| Exos stock earn-out at RTO listing (additional to ~0.59% EAI up-front) | Issued at RTO listing | $0 (0.0%) | $625K (0.25%) | $1,500K (0.50%) | Post-RTO ~FY29 |
| **TOTAL EARN-OUTS (5-yr, ③ minus ②)** | | **$950K** | **$2,525K** | **$4,100K** | |

*Earn-out totals verified: Low $750K+$200K+$0=$950K ✓ Base $1,250K+$650K+$625K=$2,525K ✓ High $1,500K+$1,100K+$1,500K=$4,100K ✓ (each = ③ minus ② = ③ minus $4,860K)*

*EAI units: $1.0M fixed (~0.59% FD) issued as part of Rule 504 offering at close; part of RTO public float; freely tradeable at listing (no lockup). Earn-out stock (0.0–0.5% additional) at RTO listing. Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'EAI Lockup & Liquidity' and 'Total Compensation' sheets.*

## 3. Key Terms

| Term | Detail |
|---|---|
| **Agreement basis** | May 2025 Asset Acquisition Agreement, §3 exclusivity trigger |
| **Total commitment** | $4,860,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + $500K WC + $1.0M EAI equity at 409A, Rule 504) |
| **Exclusivity period** | 90 days from SSLC confirmation; extension not unreasonably withheld (§3) |
| **Holdback (§7)** | 5% escrow, released at 12-month anniversary |
| **SSLC debts** | Not assumed by Exos; SSLC's own responsibility. Removed from offer 10/10. |
| **SSLC employees** | Exos offers employment to SSLC employees on terms no less favorable than current (incl. comp & benefits), subject to Exos hiring policies + confirmatory diligence; key-employee option pool set in the Definitive Agreement |
| **Status** | DRAFT — NEGOTIATING TERMS — not a final or binding offer |

*Rule 504: $1.0M toward $10M rolling 12-month cap; U.S.-only (Japan round is Reg S — keep distinct). EAI timeline: committed at board acceptance → issued at financing close (Q1 FY27 targeted) → freely tradeable at RTO listing (targeted ~6 mo post-close; not assured). Full detail: model → 'EAI Lockup & Liquidity' sheet.*

*Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without: sheet 'With vs Without Exos Capital' · Eqvista fairness opinion: engaged 8/14/2026; agreement still unsigned (held ~1 month). Projections are forward-looking (SEC Rule 10b-5 applies); RTO stock projection (mgmt assumption, not a guarantee): see model 'Total Compensation' / 'Returns and Dilution' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx*

**DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09**